Category
Introduction to Risk Management

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RISK TOLERANCE

Learning Outcome

- explain how risk tolerance affects risk management

Perhaps the most important element of good risk governance is the **risk tolerance** discussion and decision within the governing body. Business and investment strategy centers on selecting a portfolio of acceptable risk activities that will maximize value and produce the highest returns possible for the given risk level. At the governance level, the duty is generally not to select these activities—a job that usually falls to management—but to establish the organization's risk appetite. Certain risks or levels of risks may be deemed acceptable, other risks deemed unacceptable, and in the middle are risks that may be pursued in a risk-limited fashion. Said differently, risk tolerance identifies the extent to which the organization is willing to experience losses or opportunity costs and to fail in meeting its objectives.

> The risk tolerance decision *for an individual* is similar, but not identical, to that of a business enterprise. In traditional finance theory, the individual focuses on maximizing unobservable utility, whereas the business maximizes a generally observable value—the market value or equity price of the company. Although individuals are facing life and certain death on an uncertain timetable, most businesses tend to be relatively short-lived organizations, but with an expectation of immortality. The decisions about risk tolerance from those two very different viewpoints can be expected to differ—for example, risk tolerance in organizations often treats its continued existence as a major consideration. In many ways, the individual's risk tolerance decision is the harder one.

The enterprise risk management perspective is the right lens through which to view the risk appetite question. The risk tolerance decision begins with two different analyses that must be integrated—an "inside" view and an "outside" view. First, what shortfalls within an organization would cause it to fail, or at least fail to achieve some critical goals? Second, what uncertain forces is the organization exposed to? That is, what are its risk drivers? With the answers to these two difficult questions in hand, a board could begin defining dimensions and levels of risk that it finds too uncomfortable to take on. This risk tolerance should be formally chosen and communicated *before* a crisis, and will serve as the high-level guidance for management in its strategic selection of risks. Many organizations will do this *after* a crisis, which is better than not doing it at all but is much like buying insurance after the loss occurs. It is best to take care of it when there seems to be no particularly pressing reason to do so. Similarly, some individuals may not give much thought to their own risk tolerance until after a crisis occurs, when they belatedly decide that the risk was not worth taking.

For example, suppose a Spanish construction equipment manufacturing company's board is determining its risk tolerance. From the inside perspective, it has two main concerns: revenue and liquidity. It determines that it can tolerate a 5%−10% drop in revenue, but that a 20% drop would trigger its debt covenants and put the launch of its new flagship product at risk. Related to this strategy, it needs €40 million of cash flow annually for the next three years for critical capital expenditures and can leave almost none of this cash flow at risk. From the outside perspective, it realizes that there are three main uncertainties or risk drivers over which it has no control: changes in the value of the US dollar, interest rate changes, and market returns on industrial sector equities. Both its business results and its

a top-level analysis to formulate its risk tolerance. In this case, it may decide to limit maximum cash flow variation to €10 million annually and revenue exposure to −10% in a global recession. In addition, it may specify other stated limits, such as the maximum exposure to currency or other risks. This guidance may affect the riskiness of other product strategies that management may pursue. The company may require more expensive financing options to reduce cash flow uncertainty. The governance restrictions may drive risk mitigation programs, such as a hedging strategy, especially for the primary risk drivers that are stated areas of concern.

Governance guidance is important in helping an enterprise target where it should actively pursue risk and where it should mitigate or modify risk. Strategic goals centered on core competencies should be pursued, which leads the company into taking risks that best position the enterprise for success and value creation. Companies sometimes take risks in areas where they have no expertise, which puts their core value creation and their entire organization at peril. A well-functioning risk program would limit or hedge those non-core risks in areas where they have no comparative advantage. Modifying risk is covered in detail in Sections 9–11.

How does a company determine its risk tolerance? There is certainly no formula. Most importantly, a company's goals, its expertise in certain areas, and its strategies will help a board determine which risks the company may pursue and with how much intensity. The ability of a company to respond dynamically to adverse events may allow for a higher risk tolerance. The amount of loss a company can sustain without impairing its status as a going concern should factor into its risk tolerance; some companies are more fragile than others. The competitive landscape matters because both the board's and investors' expectations are usually developed in the context of how a company is positioned in its industry. The government and regulatory landscape is important too, both in their *ex ante* demands on how companies approach risk and in the likely *ex post* reaction in the event of disasters. Quantitative analyses such as scenario analysis, economic models, and sensitivities to macro risk drivers might be used to assess where a board's zone of comfort is bounded. There are other factors that should *not* determine risk tolerance, but in many cases they do. Personal motivations, beliefs, and agendas of board members (the agency problem); company size; whether the market environment seems stable; short-term pressures; and management compensation often affect risk tolerance in ways that might not be in line with the owners' best interests.

Once risk tolerance is determined, the overall risk framework should be geared toward measuring, managing, and communicating compliance with this risk tolerance—getting the risk exposure in line with the enterprise's risk appetite.

This sort of governance exercise not only helps ensure that the organization survives through the worst of times, but also helps ensure a strategic trade-off between risk and return in the decision process, which, in turn, improves potential returns for the given level of risk and value. It is quite easy to find business strategies and investment approaches that produce apparently outsized returns, but they might be at the cost of putting the organization at extreme risk. A somewhat extreme example would be a company selling put options on its own equity, which could produce higher short-term profits but would dramatically increase the chance of the company failing in a steep market decline. Excessive leverage is another risky strategy for boosting short-term profits that may decrease value or lead to failure in the long run. A formal risk governance process with a stated risk tolerance would naturally result in avoidance of many easier, less well-reasoned strategies that entail excessive risk compared with the firm's risk tolerance. Instead, it would lead the strategic discussion into alternative strategies that are more likely to add value while taking reasonable risk within the enterprise's risk tolerance and not simply trade ruin for return. Sincere, good risk governance and risk culture can avoid excessively risky strategies that might put the long-term enterprise value at risk. This approach should produce enhanced value for the enterprise.

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